Question #1 of 42

Question ID: 1580652

Decision-reversal risk is likely to:

A) occur in large institutional portfolios with exposure to alternative investments.

B) occur when an investor changes investment strategy.

C) create a skewed distribution of portfolio return.

Question #2 of 42

Question ID: 1674561

Which of the following statements regarding the strategic asset allocation process is *least accurate*?

A) The strategic asset allocation review is typically performed once per year.

B) The strategic asset allocation must be rebalanced periodically for changes in the valuation of the various asset classes in the portfolio.

C) Strategic asset allocation, similar to tactical asset allocation, employs a short-run capital market projection.

Question #3 of 42

Question ID: 1580662

Which of the following characteristics of asset classes is *most* desirable? Asset classes should:

A) be correlated with each other.

B) have an index.

C) be mutually exclusive.

Question #4 of 42

Question ID: 1580661

An investor mentions to her portfolio manager that her main goal is to maximize her portfolio's Sharpe ratio while also considering her risk tolerance and constraints. Which of the following asset allocation approaches is *most appropriate* for the investor?

A) Goals-based approach.

B) Liability-based approach.

C) Asset-only approach.

Question #5 of 42

Question ID: 1580658

Mark Zedon, a financial consultant, prepares a strategic asset allocation for his client based on the client's risk/return preferences. This approach to strategic asset allocation is called the:

A) asset-only approach.

B) investment policy statement approach.

C) efficient frontier approach.

Question #6 of 42

Question ID: 1551632

An investor is expecting to retire sometime within the next two years. In a target date fund, what should the recommended equity/bond allocation be for this investor?

A) 10% equity; 90% bonds.

B) 95% equity; 5% bonds.

C) 50% equity; 50% bonds.

Question #7 of 42

Question ID: 1580656

An organization has positive economic net worth. This implies that the:

A) organization’s accounting owner’s equity is also positive.

B) value of economic assets exceeds the value of economic liabilities.

C) value of extended portfolio assets exceeds the value of extended portfolio liabilities.

Question #8 of 42

Question ID: 1580678

Each of the following statements concerns either strategic asset allocation or tactical asset allocation. Which of the following statements is *least accurate*?

A) Strategic asset allocation is typically a constant mix strategy.

B) Strategic asset allocation employs a long-run view of capital market conditions.

C) Tactical asset allocation employs a long-run view of capital market conditions.

Question #9 of 42

Question ID: 1580676

What is the major difference between dynamic asset allocation and static asset allocation? Dynamic asset allocation:

A) considers more than one asset class, while static asset allocation only considers one asset class at a time.

B) considers asset and liability management simultaneously, while static asset allocation does not.

C) takes a multiperiod view of the investment horizon, while static asset allocation does not.

Question #10 of 42

Question ID: 1551635

Which of the following investment objectives is *most likely* associated with asset-only asset allocation approaches?

A) Funding liabilities when they come due.

B) Meeting specific goals within a certain degree of confidence.

C) Maximizing expected return per unit of risk.

Question #11 of 42

Question ID: 1580666

According to the modern portfolio theory, which risk is rewarded?

A) Systematic risk.

B) Total risk.

C) Efficient risk.

Question #12 of 42

Question ID: 1580663

Which of the following would indicate that the asset classes used for describing the returns of a portfolio are desirable?

A) Low R-squared and easily measured manager asset proportions.

B) High R-squared and easily measured manager asset proportions.

C) High R-squared and large confidence intervals.

Question #13 of 42

Question ID: 1606707

Which of the following statements regarding the characteristics of asset classes is *most correct*? Asset classes should:

A) be negatively correlated.

B) not be highly correlated.

C) have an index.

Question #14 of 42

Question ID: 1580657

James Mason is the chief operating officer of the Homeless Mission Foundation (HMF), a foundation with the purpose of providing food, clothing, and shelter for homeless individuals. Mason is currently in the process of preparing a report to HMF's board recommending an asset allocation for the foundation. This year, Mason estimates that HMF's operating budget will be $2.75 million. To assist with preparation of his report, Mason has compiled the following data.

- The market value of the foundation is currently $50,000,000.
- The cost for providing services to homeless individuals is expected to rise at a rate of 3.0% per year.
- The board would like to maintain a cash cushion equal to half of the estimated operating budget to meet any unexpected expenses.
- Management fees for the foundation are estimated to be 0.40%.
- The board is willing to accept market risk to meet its long-term objectives, but the board wants to accept shortfall risk (defined as expected return minus two standard deviations) of no more than 15%.

Mason must recommend one of three different portfolios to the board. Mason's choice of portfolios is shown as follows:

Asset Class	**Portfolio A**	**Portfolio B**	**Portfolio C**
Large-cap U.S. stocks	24%	30%	20%
Small-cap U.S. stocks	10%	5%	13%
International—developed market equities	5%	13%	5%
International—emerging market equities	5%	5%	10%
U.S. corporate bonds	25%	20%	17%
U.S. Treasury bonds	20%	16%	21%
Real estate	5%	10%	10%
Cash	6%	3%	4%
TOTAL	**100%**	**100%**	**100%**
Expected annual total return (%)	7.85%	9.20%	8.80%
Expected standard deviation (%)	11.15%	12.10%	12.20%

In his report, Mason is going to recommend a portfolio based on three criteria: liquidity needs, return requirements, and shortfall risk. Which of the portfolios should Mason recommend?

A) Portfolio C.

B) Portfolio B.

C) Portfolio A.

Question #15 of 42

Question ID: 1580673

With respect to the global market portfolio, which of the following statements is *least accurate*? The global market portfolio:

A) lies on the steepest-sloping and feasible capital market line.

B) is the portfolio that minimizes unsystematic risk.

C) contains only asset classes that trade throughout the capital markets.

Question #16 of 42

Question ID: 1580680

Tactical asset allocation analysis:

A) assumes that the investor's risk tolerance decreases with wealth.

B) assumes lack of inefficiencies in the market.

C) is often based on deviant beliefs.

Question #17 of 42

Question ID: 1551629

Which of the following statements regarding the portfolio management process is *least accurate*?

A) The investment advisor should consider the client's entire conventional balance sheet.

B) The general portfolio construction, monitoring, and revising process is the same for both individuals and institutional investors.

C) Capital market expectations are used to determine the appropriate asset classes for the client's strategic asset allocation.

Question #18 of 42

Question ID: 1580665

Regarding the classification of sub-asset classes, which of the following statements is *most correct*?

A) Increasing granularity in asset classes is important to the strategic asset allocation process.

B) Correlations between sub-asset classes within a broader asset class are likely to be high.

C) Correlations between broad asset classes are likely to be high.

Question #19 of 42

Question ID: 1580667

Regarding the use of risk factors when making asset allocation decisions, which of the following statements is *most correct*?

A) Risk factors are as easy to invest in as an asset class.

B) Multifactor models can be used to isolate systematic risk exposures.

C) Risk factors cannot be used as units of analysis in asset allocation.

Question #20 of 42

Question ID: 1551637

Which one of the following *most closely* matches an advantage of the asset-liability approach over the asset-only approach to strategic asset allocation?

A) Liabilities and assets are highly correlated.

B) Asset classes have different systematic risk exposures.

C) Liability funding is more accurately controlled.

Question #21 of 42

Question ID: 1580674

Bruce Calloway is interested in using an appropriate asset allocation strategy for his portfolio. His long-term view of the capital market conditions is that there will always be change and opportunities to capture excess returns in the market. As a risk-neutral investor, he is a consistent risk taker, and his risk tolerance on his portfolio can be expected to be constant based on such market expectations. Which asset allocation strategy is the *most appropriate* strategy for his portfolio?

A) The dynamic strategic asset allocation strategy is most appropriate because this allows the capability to quickly move in and out of different assets as market conditions change.

B) The strategic asset allocation strategy is most appropriate because this strategy allows the portfolio to be periodically rebalanced according to market conditions.

C) The tactical asset allocation strategy is most appropriate because this strategy assumes the investor's risk tolerance is constant and his capital market expectations are subject to frequent change.

Question #22 of 42

Question ID: 1580660

Which of the following statements about the liability-relative and/or goals-based approaches is *least accurate*?

A) Both approaches consider assets in the context of meeting liabilities.

B) Mean-variance optimization (MVO) is appropriate for both approaches.

C) Surplus optimization is an example of the goals-based approach.

Question #23 of 42

Question ID: 1580655

An economic balance sheet represents a current snapshot of an investor's complete economic situation for investment purposes. As an investor's time horizon changes, so do the extended portfolio assets and liabilities. Which of the following statements is the *most accurate* description regarding an economic balance sheet? Generally:

A) the ratio of financial capital to human capital decreases as an investor ages.

B) as an investor ages toward retirement, the present value of the investor's human capital increases.

C) the financial characteristics of target date funds most closely correspond with those of an economic balance sheet.

Question #24 of 42

Question ID: 1674559

Assignment of asset class weights for a portfolio based on long-term capital market expectations is called:

A) portfolio optimization.

B) strategic asset allocation.

C) tactical asset allocation.

Question #25 of 42

Question ID: 1674557

What does strategic asset allocation allow managers to do with respect to systematic risk?

A) Identify and minimize.

B) Reduce.

C) Monitor and control.

Question #26 of 42

Question ID: 1580668

Asset classes may share different sources of risk. An alternative approach to asset allocation is the use of risk factors. Which of the following is *least accurate* regarding this approach?

A) Asset class characteristics are used to determine the different risk factors.

B) Asset classes often have overlapping risk factors.

C) Risk factors are often not directly investable.

Question #27 of 42

Question ID: 1580653

Which investment objective is *most appropriate* for an endowment?

A) To ensure there are sufficient assets to meet current and ongoing liabilities.

B) To achieve a rate of return that exceeds the return required to fund current and ongoing distributions.

C) To ensure there are sufficient assets for funding while adhering to constraints and risk preferences.

Question #28 of 42

Question ID: 1674558

Strategic asset allocation reflects what systematic risk exposure?

A) Investor's desired systematic risk exposure.

B) Asset class systematic risk.

C) Long-term systematic risk exposure.

Question #29 of 42

Question ID: 1674555

Which of the following is *least likely* a characteristic of strategic asset allocation?

A) Short-term capital market expectations.

B) Investor risk and return objectives.

C) Investor constraints.

Question #30 of 42

Question ID: 1551663

Tactical asset allocation is a deviation from the strategic asset allocation for the purpose of:

A) taking advantage of short-term capital market expectations.

B) exceeding investor's return objectives.

C) aligning with investor's risk preferences.

Question #31 of 42

Question ID: 1580659

Regarding asset allocation risk measures, which of the following statistical risk measures is *most likely* associated with a defined benefit plan using an asset-only approach?

A) The standard deviation of the overall portfolio.

B) The standard deviation of the surplus.

C) The standard deviation of the funding ratio.

Question #32 of 42

Question ID: 1580654

Carla Smitz, CFA, is working with new, young clients Terry and Janice Dillard to develop their investment policy statement (IPS). Smitz should *most likely* take into consideration:

A) both their human capital and risk tolerance.

B) their risk tolerance.

C) their human capital.

Question #33 of 42

Question ID: 1674556

Stokes Day Nursery is a nonprofit organization providing day care for children from low-income homes. The endowment that funds the nursery has a value of $8 million, and it is estimated that the nursery will need $360,000 in the current year to fund its operations. The nursery's expenses are expected to grow by 3% annually, in line with inflation. William Rose has been hired as a consultant to review Stokes Day Nursery's portfolio. The asset allocation for the current portfolio is shown as follows.

Asset Class	Allocation (%)	Expected Return
Cash	2%	3%
Intermediate-term Treasury bonds	35%	4.5%
High-quality corporate bonds	33%	5.0%
U.S. equities	25%	8.5%
Int'l equities (developed markets)	5%	10.0%
Int'l equities (emerging markets)	0%	12.0%

Rose makes four suggestions regarding the current portfolio:

Suggestion 1:	The allocation to cash should be higher.
Suggestion 2:	The allocation to intermediate-term Treasury bonds should be lower.
Suggestion 3:	The allocation to U.S. equities should be lower.
Suggestion 4:	The allocation to emerging market international equities is appropriate.

Which of the suggestions should the board of directors for Stokes Day Nursery agree with?

A) Suggestions 2 and 4.

B) Suggestions 1 and 3.

C) Suggestions 1 and 2.

Question #34 of 42

Question ID: 1580675

Deviation from the policy portfolio due to short-term capital market expectations is called:

A) tactical asset allocation.

B) targeted asset allocation.

C) strategic asset allocation.

Question #35 of 42

Question ID: 1674560

Strategic asset allocation is based upon:

A) long-term capital market expectations and the investment policy statement.

B) long-term capital market expectations and risk/return preferences of the investor.

C) short-term capital market expectations and the investment policy statement.

Question #36 of 42

Question ID: 1580677

In terms of vehicles for implementing passive and active mandates within asset classes, which of the following investments would be the most passive approach?

A) Not managing the portfolio regarding any benchmark.

B) Tilting the asset allocation toward a certain investment style index.

C) Investing in the global market portfolio.

Question #37 of 42

Question ID: 1580651

Which of the following is not part of an effective investment governance model?

A) Establishing client objectives.

B) The process of setting an asset allocation.

C) Determining manager compensation.

Carl Allen and Cliff Hanes are analysts for Tacticon Advisory (Tacticon). Allen and Hanes have been assigned the task of documenting some of Tacticon's asset allocation techniques. After receiving accolades in a recent trade magazine article featuring investment firms with

innovative trading strategies, their supervisor, Amos Ridley, decides it is time the firm began formally documenting the firm's proprietary asset allocation process.

Ridley wants Allen and Hanes to record the specifics of Tacticon's investment process for internal use. He also wants them to compile a document explaining various allocation techniques to be used by the marketing staff and portfolio managers when working with prospects and clients.

At their first meeting after receiving the assignment, a discussion of strategic and tactical allocation commences. Allen and Hanes feel confident about the distinction between the two, but they are less certain about the differences between asset-liability management (ALM) versus asset-only approaches to asset allocation.

Hanes states, "ALM and asset-only approaches are used for strategic asset allocation. With ALM, an investor's optimal asset allocation is directly related to explicit liability modeling. On the other hand, with asset-only strategies, liabilities only indirectly impact the return objective."

Allen replies, "I'm not so sure. I thought that tactical, asset-only approaches like immunization and cash flow matching are more precise than ALM for controlling risk."

Question #38 - 39 of 42

Question ID: 1551670

Strategic asset allocation:

A) establishes a portfolio's long-term asset class exposures by integrating each element of investment policy with capital market expectations.

B) sets a portfolio's asset class exposures to unsystematic risk.

C) involves short-term variations from an investor's normal asset mix.

Question #39 - 39 of 42

Question ID: 1618849

Concerning the discussion between Hanes and Allen about ALM versus asset-only allocation approaches:

A) only one is correct.

B) both are incorrect.

C) both are correct.

Question #40 of 42

Question ID: 1580672

Within the context of mean-variance optimization, the global market portfolio is represented as a portfolio:

A) with the highest expected return on the efficient frontier.

B) with the lowest level of variance on the efficient frontier.

C) that is on the line tangent to the efficient frontier.

Question #41 of 42

Question ID: 1580681

Several investment decisions remain to be made following the selection of an appropriate strategic asset allocation (SAA). These include the decision on how to rebalance the SAA back to the target allocations. Which of the following statements is *least accurate* regarding a rebalancing scheme?

A) Rebalancing must consider both the transaction cost and liquidity of the assets being rebalanced.

B) Rebalancing triggers include calendar month, relative deviations from targets, and absolute deviations from target.

C) Rebalancing is required as part of a risk budget.

Question #42 of 42

Question ID: 1551672

Which of the following strategic rebalancing considerations encourages the use of a wider rebalancing range?

A) Believing in price mean reversion.

B) Higher transaction costs.

C) More risk-averse investors.